

Albanian Real Estate Market (2015–2026)

**An Investment Perspective Based on Data from Bank
of Albania, Instat, the IMF and the World Bank**

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Executive Summary

Over the past decade, Albania has experienced one of the strongest residential real estate booms in Southeast Europe. House prices have risen significantly faster than inflation and household incomes, particularly in Tirana and the coastal regions. Based on an analysis of data from the Bank of Albania, Instat, the IMF and the World Bank, the market appears moderately overvalued relative to domestic purchasing power, although several structural factors continue to support prices. Unlike many historical housing bubbles, Albania's market is not primarily driven by excessive mortgage lending. Instead, demand is increasingly supported by urbanization, tourism, diaspora investment, foreign buyers and expectations of continued appreciation.

This report evaluates whether the recent appreciation in Albanian residential property prices reflects sustainable economic fundamentals or signals increasing market imbalances. Using official data from the Bank of Albania, Instat, the IMF and the World Bank, the analysis examines the interaction between house prices, household incomes, mortgage lending, construction activity, demographics, foreign direct investment, remittances and macroeconomic conditions. Particular attention is given to housing affordability, vacancy rates and the growing importance of external capital inflows, which increasingly differentiate Albania from traditional European housing markets.

Overall, the evidence suggests that Albania's residential real estate market cannot be characterized as a classic credit-driven housing bubble. Instead, prices appear to be supported by a combination of structural demand factors—including tourism, diaspora capital, urbanization and foreign investment—while affordability has deteriorated significantly and vacancy rates have reached historically elevated levels. Consequently, future price appreciation is expected to moderate and become increasingly dependent on location quality, demographic resilience and the sustainability of external capital inflows rather than broad-based national market expansion. (Author's Assessment)

Overall Assessment: Moderately Overvalued – Positive Long-Term Outlook with Moderate Downside Risk. (Author's Assessment)

Executive Highlights

Construction and the Economy (GDP)

Construction represents approximately 12% of Albania’s GDP directly, one of the highest shares in Europe (Instat). When including real estate services, banking, construction materials, engineering, furniture and related industries, the broader real estate ecosystem likely contributes more than 12%. This concentration means that the Albanian economy is unusually dependent on the health of the construction and property sectors. The data confirms that Albania is experiencing high levels of GDP growth, both in Nominal and Real Terms(Appendix A, Chart 17).

Year	GDP in Billion USD	Nominal GDP YoY growth
2015	11.39	-14.0%
2016	11.86	4.1%
2017	15.05	26.9%
2018	15.15	0.7%
2019	15.28	0.9%
2020	15.27	-0.1%
2021	17.98	17.7%
2022	19.19	6.7%
2023	23.63	23.1%
2024	27.05	14.5%
2025 (IMF Forecast)	30.28	11.9%
2026 (IMF Forecast)	33.33	10.1%

Table 1: GDP analysis of Albania (IMF)

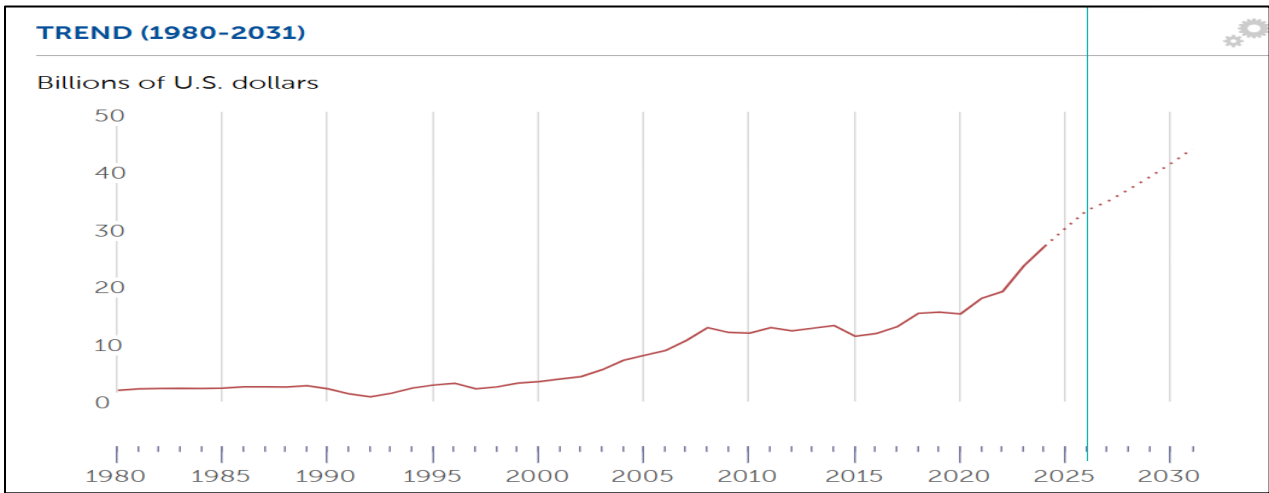


Chart 1: GDP of Albania (IMF)

House Prices

Following a prolonged period of stagnation after the Global Financial Crisis, the Albanian housing market recovered steadily after 2015 before accelerating sharply after 2021. The Bank of Albania has reported strong annual house price growth in recent years, with the coastal regions significantly outperforming Tirana. Number of properties sold has displayed a positive increasing trend while the time it takes properties to be sold has decreased.



Chart 2: Number of sold properties (Bank of Albania)

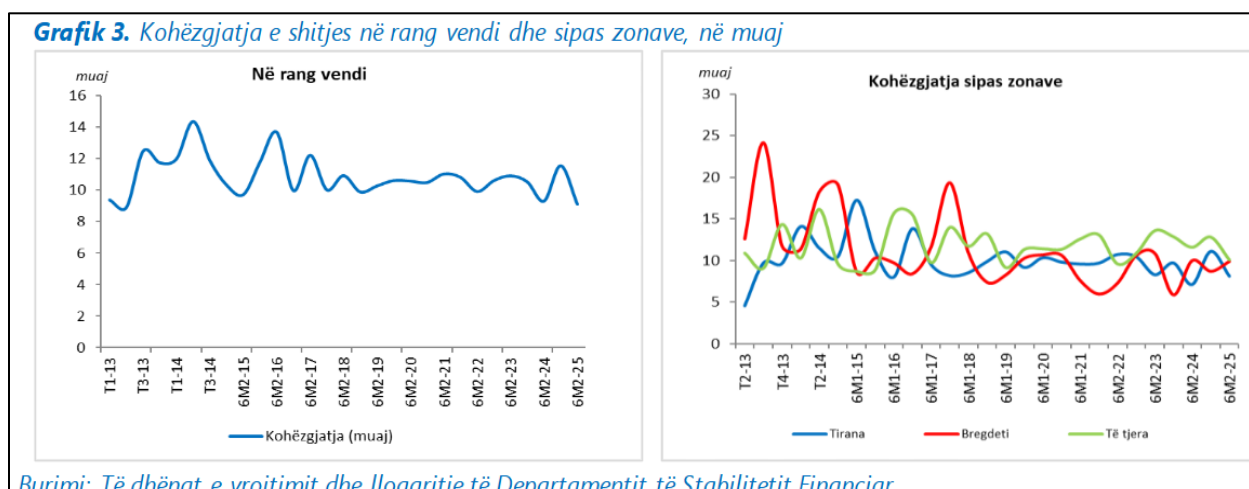
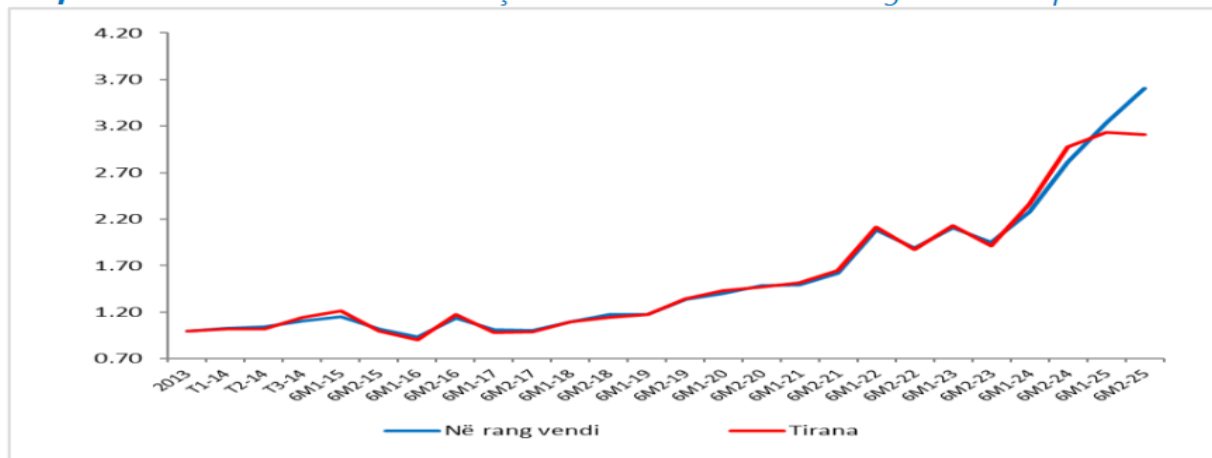


Chart 3: “Months on Market” nationwide (Bank of Albania)

Chart 4: “Months on Market” according to location (Bank of Albania)

Grafik 6. Ecuria e indeksit Fisher të çmimeve të banesave në rang vendi dhe për Tiranën



Burimi: Të dhënat e vrojtimit dhe llogaritje të Departamentit të Stabilitetit Financiar.

Chart 5: Fisher Index of House price nationwide and in Tirana (Bank of Albania)

Year	The Nationwide Fisher House Price Index	Tirana Fisher Index	YoY Nationwide	YoY Tirana
2015	1	1	0	0
2016	1.18	1.18	18.0%	18.0%
2017	1	1	-15.3%	-15.3%
2018	1.18	1.15	18.0%	15.0%
2019	1.35	1.35	14.4%	17.4%
2020	1.48	1.48	9.6%	9.6%
2021	1.63	1.63	10.1%	10.1%
2022	1.88	1.88	15.3%	15.3%
2023	1.92	1.92	2.1%	2.1%
2024	2.81	2.97	46.5%	54.7%
2025	3.6	3.1	28.0%	4.4%

Table 2: The Nationwide Fisher House Price Index and in Tirana (Bank of Albania)

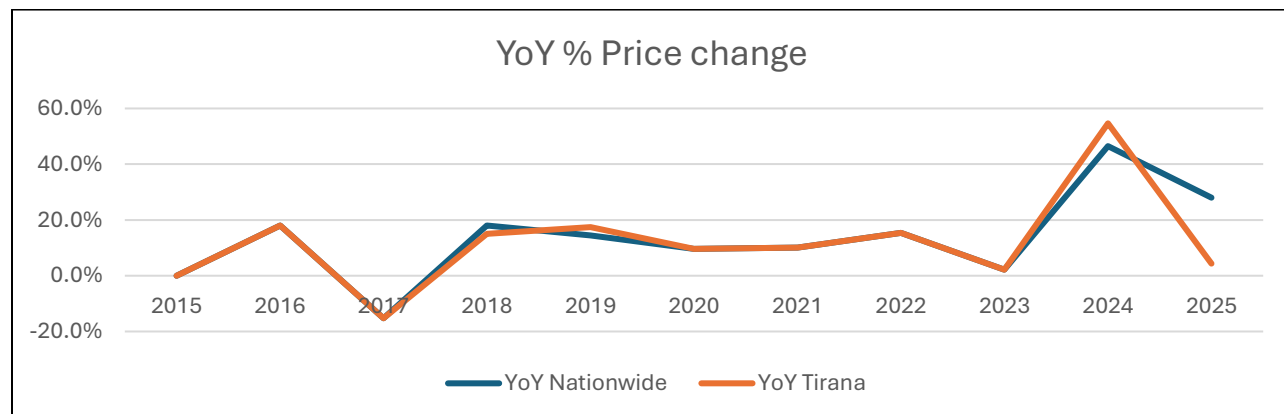


Chart 6: YoY % Price change Nationwide and in Tirana (Bank of Albania)

Remittances

Remittances have become an important structural driver of Albania's housing market, providing households with additional purchasing power beyond officially reported incomes. According to the Bank of Albania, remittance inflows have increased significantly over the past decade, supporting household consumption, savings and residential investment. These inflows contribute to housing demand, particularly for cash purchases, reducing reliance on mortgage financing. The percentage of remittances compared to GDP have significantly decreased further showing Albania's economic growth.

Year	Approx. Remittances in Billion EUR	Remittances as % of GDP
2015	1.29	11.3%
2016	1.31	10.9%
2017	1.31	9.9%
2018	1.46	9.5%
2019	1.47	9.5%
2020	1.47	9.6%
2021	1.72	9.5%
2022	1.75	9.2%
2023	2.04	8.7%
2024	2.27	8.4%

Table 3: Remittances in Albania (World Bank)



Chart 7: Approximate Remittances in Billion USD (World Bank)



Chart 8: Remittances received as % of GDP (World Bank)

Affordability

Housing affordability has deteriorated considerably. House prices have increased much faster than wages, resulting in rising Price-to-Income ratios and making home ownership increasingly difficult for first-time Albanian buyers. In Tirana, it takes 18 years to buy an apartment according to Numbeo data published for the first half of 2025. In the world rankings, Tirana is positioned in 37th place. (Revista Monitor, Appendix B Figure 1)

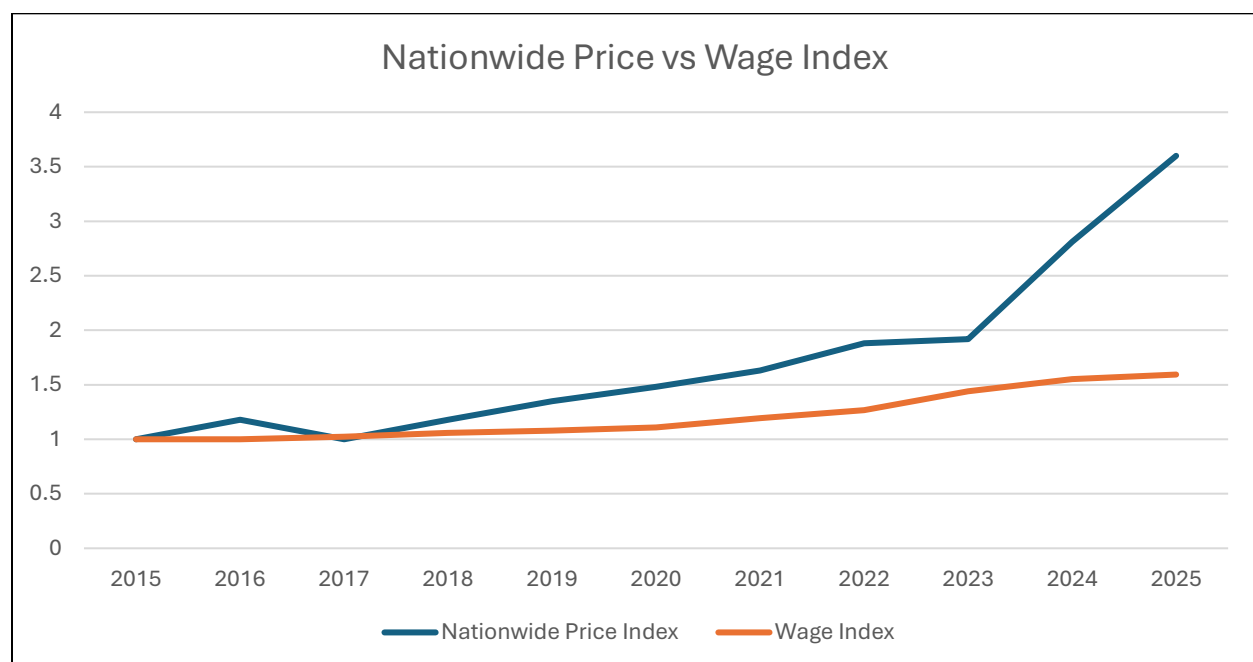


Chart 9: Nationwide House price Fischer vs Wage Index (Bank of Albania, Instat)

Year	Average Gross Salary (Lekë)	Year-over-Year (YoY) Change (%)	Trend Analysis / Context
2016	49,380	Baseline	Historical baseline period
2017	50,600	2.47%	Low inflation, stable growth
2018	52,312	3.38%	Organic wage shifts
2019	53,458	2.19%	Pre-pandemic threshold
2020	54,951	2.79%	Pandemic market slowdown
2021	59,565	8.40%	Initial post-pandemic recovery
2022	64,000	7.45%	Early inflationary adjustments
2023	75,025	17.23%	Peak historic surge (Public sector reforms)
2024	83,401	11.16%	Sustained growth, private sector catching up
2025	86,984	4.30%	Clear deceleration and market stabilization
2026	90,119	+9.61% (vs T1/2025)	All-time record peak (New minimum wage rules)

Table 4: Wage Growth (Instat)

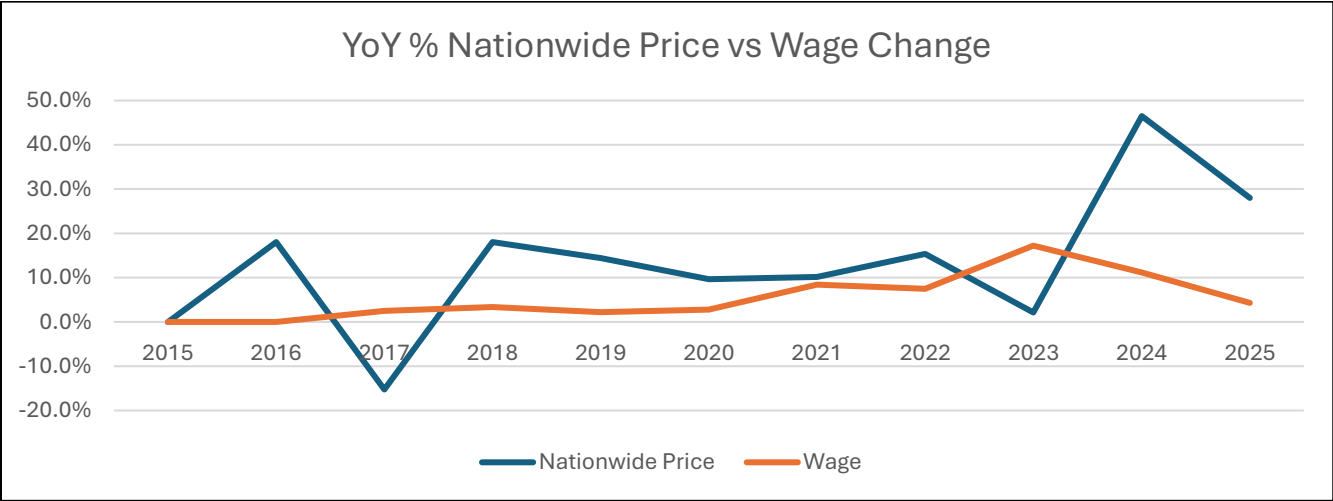


Chart 10: Nationwide House price Fischer vs Wage YoY % Change (Bank of Albania, Instat)

Inflation and Construction costs

Rising inflation and construction costs, driven by more expensive materials and labor, have boosted Albanian property prices. While these replacement costs support the market, housing prices have grown even faster, indicating that strong demand is the primary driver.

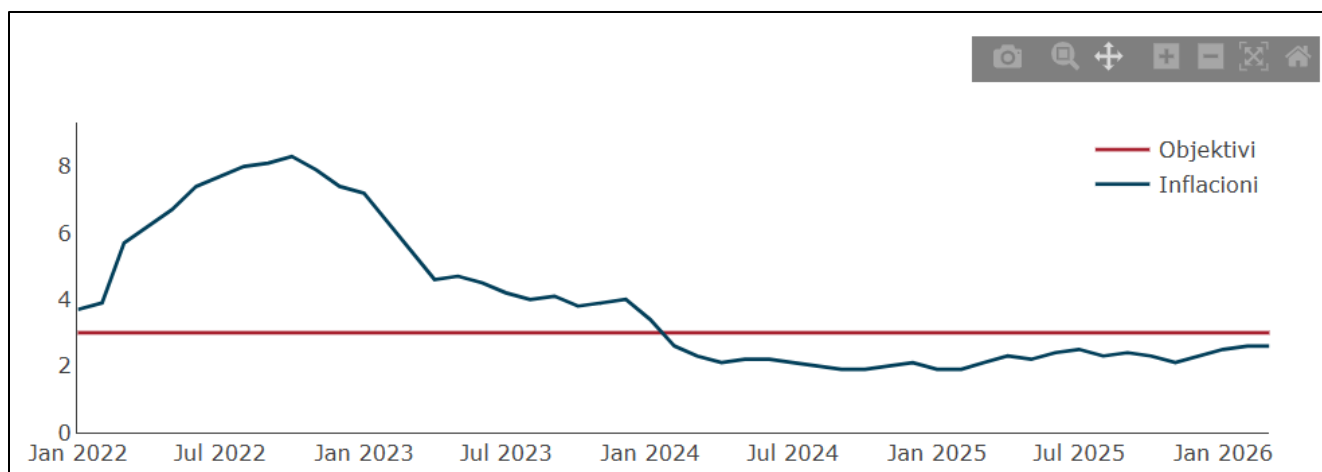


Chart 11: Domestic Inflation in Albania(Bank of Albania)

Year	Index	YoY Change
2018	96	-
2019	97	1.0%
2020	97	0.0%
2021	100	3.1%
2022	103	3.0%
2023	108	4.9%
2024	112	3.7%
2025	113	0.9%
2026	114	0.9%

Table 5: Construction Cost Index (Indeksi I Kushtimit ne Ndertim) (Instat, Bank of Albania)

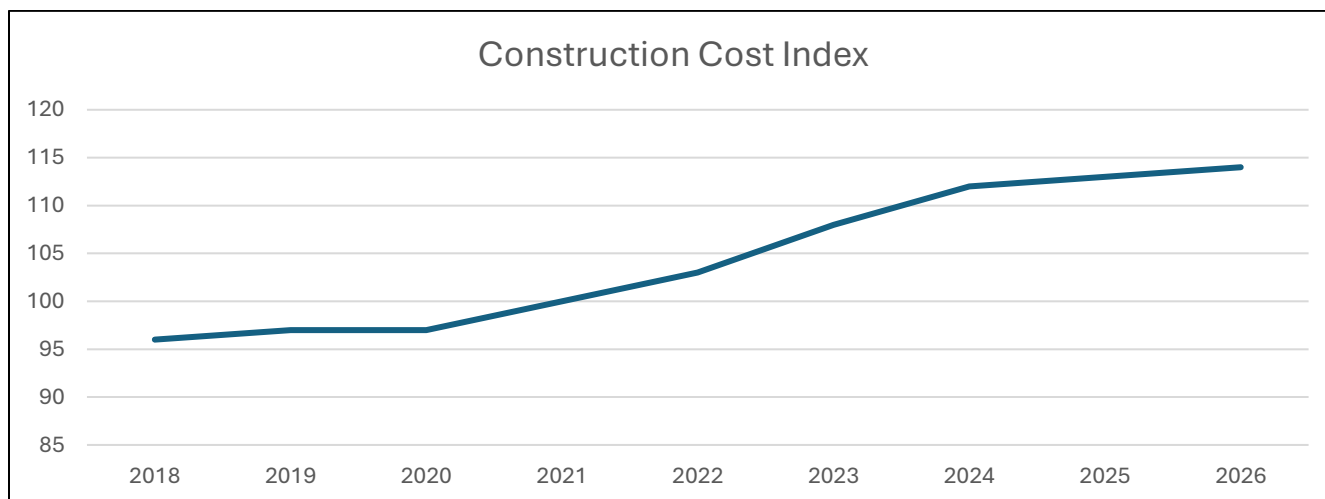


Chart 12: Construction Cost Index (Indeksi I Kushtimit ne Ndertim) (Instat, Bank of Albania)

Exchange Rate (Lek Appreciation)

The Albanian lek has appreciated significantly against the euro, supported by strong tourism receipts, record remittances, rising foreign direct investment and sustained foreign currency inflows. A stronger lek has reduced imported inflation and lowered the domestic cost of imported construction materials, partially offsetting increases in building costs. However, it has also increased the purchasing power of households earning income in lek relative to euro-denominated property prices, while making Albanian real estate relatively cheaper for foreign buyers whose purchasing decisions are often driven by long-term investment and tourism potential rather than short-term exchange rate movements. Overall, the appreciation of the lek has improved macroeconomic stability but has not prevented residential property prices from continuing to rise, indicating that demand-side factors remain the dominant driver of the market.

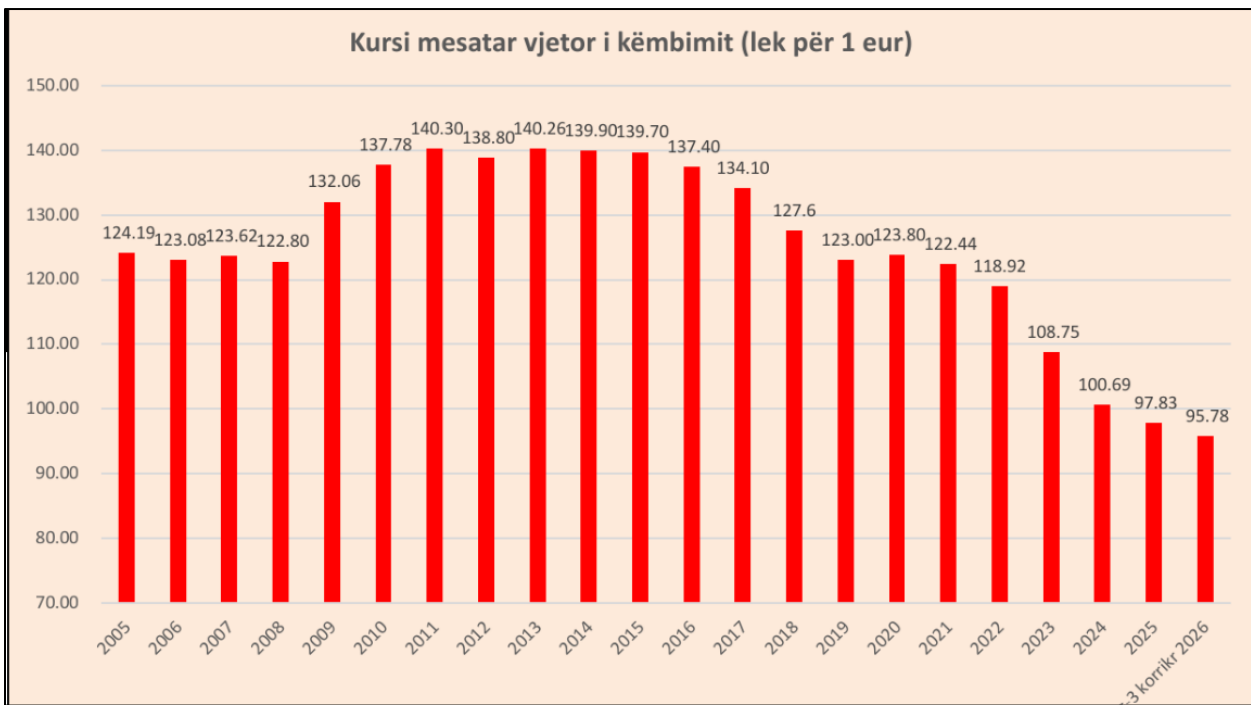


Chart 13: Average Annual Exchange Rate (ALL per 1 EUR), 2005–2026(Revista Monitor)

Mortgage Market

Mortgage credit continues to expand and supports housing demand. However, bank lending alone cannot explain recent price appreciation. Mortgage penetration remains relatively moderate compared with many European markets, suggesting that today’s market differs from the highly leveraged housing bubbles observed before the 2008 financial crisis.

Year /Period	Share of Properties Financed via Bank Loans (%)	Market Characterization
2021	30% – 35%	Cash-dominant, high non-resident investment
2022	40% – 45%	Early credit expansion, initial interest rate hikes
2023 (H1)	~40%	Stable transition phase
2023 (H2)	~60%	Massive credit spike
2024	~50%	Moderate consolidation
Late 2025	~61%	All-time record reliance on bank financing

Table 6: Mortgage Analysis (Bank of Albania)

Among the transactions completed via banking credit, 38% of cases involved a loan that covered 60% or less of the property's total value. (Bank of Albania)

Loan Category	Approximate share of total bank loans
Housing (Mortgage) Loans	25%
Business Loans	50%
Consumer Loans	25%

Table 7: Mortgage Analysis (Bank of Albania)

Total Loans secured by real estate in the portfolios of Commercial Banks were approximately 46%. Real estate collateralized lending is 4 Billion EUR - 54% households and 46% business (Bank of Albania).

Demographics

Although Albania's population continues to decline, housing demand remains concentrated in Tirana and major coastal cities. Internal migration, tourism, diaspora purchases and foreign investment continue to offset much of the negative demographic trend in these locations.

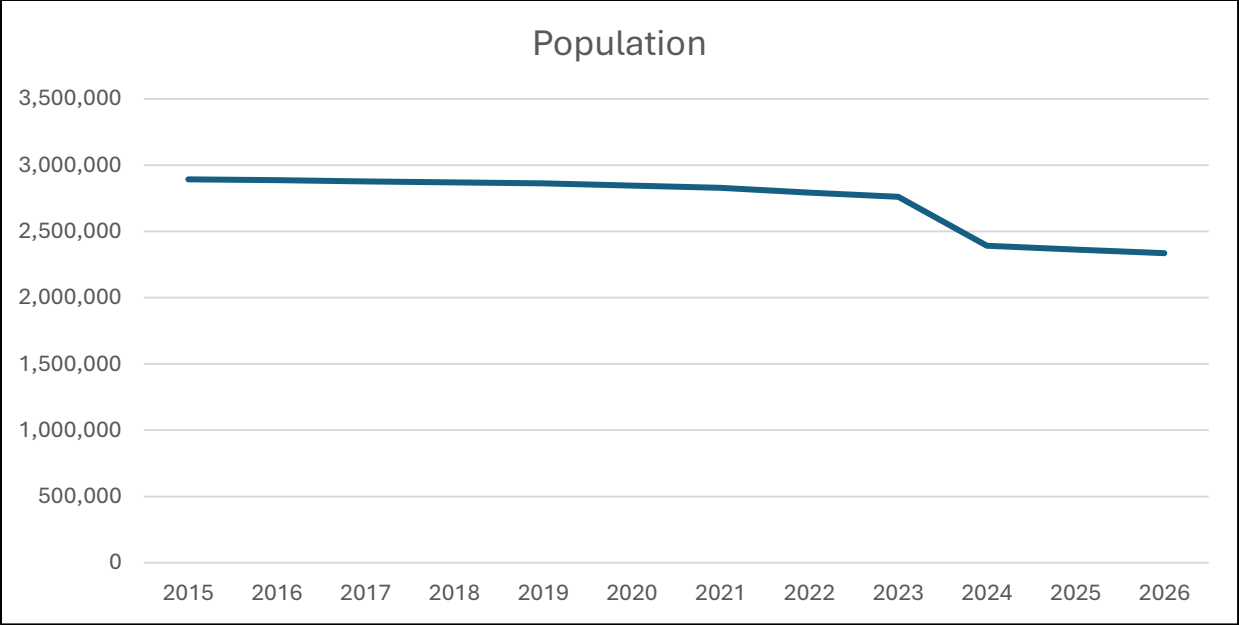


Chart 14: Population in Albania (Instat)

Year	Population	YoY % Change
2015	2,893,005	-
2016	2,886,026	-0.24%
2017	2,876,591	-0.33%
2018	2,870,324	-0.22%
2019	2,862,427	-0.28%
2020	2,845,955	-0.58%
2021	2,829,741	-0.57%
2022	2,793,592	-1.28%
2023	2,761,785	-1.14%
2024 (Change in Methodology)	2,392,942	-13.36%
2025	2,363,314	-1.24%
2026	2,335,920	-1.16%

Table 8: Demographics in Albania (Instat)

Total Diaspora	2,256,346
77%	15-64 years old
18%	0-14 years old
5%	+65 years old

Table 9: Demographic Structure of the Albanian Diaspora (Instat)

Vacancy Risk

One of the most important structural findings is the large number of unoccupied dwellings. Census data indicate that approximately one-third of Albania's housing stock is unoccupied, with significantly higher vacancy rates reported in several coastal municipalities. This suggests that a meaningful share of residential property is held as investment assets, seasonal homes or speculative investments rather than primary residences.

Metric	Value
Total Ordinary dwellings	1,082,529
Occupied dwellings	726,325 (67.1%)
Unoccupied dwellings	356,204(32.9%)

Table 10: Vacancy rate (Instat,2023)

Region	Vacancy rate
Vlora County	52%
Durres County	44%
Tirana	22%(52,871 vacant dwellings)

Table 11: Vacancy rate (Instat,2023)

Census	Vacancy rate
2001	11.3%
2011	21.7%
2023	32.9%

Table 12: Vacancy rate (Instat,2023)

Foreign Direct Investment

Foreign direct investment has increasingly shifted toward the real estate sector. Since 2022, approximately one-fifth to one-quarter of all FDI inflows have been directed to real estate, making it one of the largest recipients of foreign capital in Albania. This suggests that residential property prices are increasingly influenced not only by domestic demand but also by international investment flows, particularly in Tirana and the coastal regions.

Year	FDI (Billion USD)	Real Estate FDI (%)	Real Estate FDI (Billion USD)
2015	0.99	Not Available	Not Available
2016	1.04	Not Available	Not Available
2017	1.02	Not Available	Not Available
2018	1.2	Not Available	Not Available
2019	1.2	16.0%	0.19
2020	1.07	16.0%	0.17
2021	1.22	18.0%	0.22
2022	1.44	21.2%	0.31
2023	1.62	21.8%	0.35
2024	1.71	22.2%	0.38
2025	1.87	24.0%	0.45

Table 13: Foreign Direct Investment (World Bank, Bank of Albania)

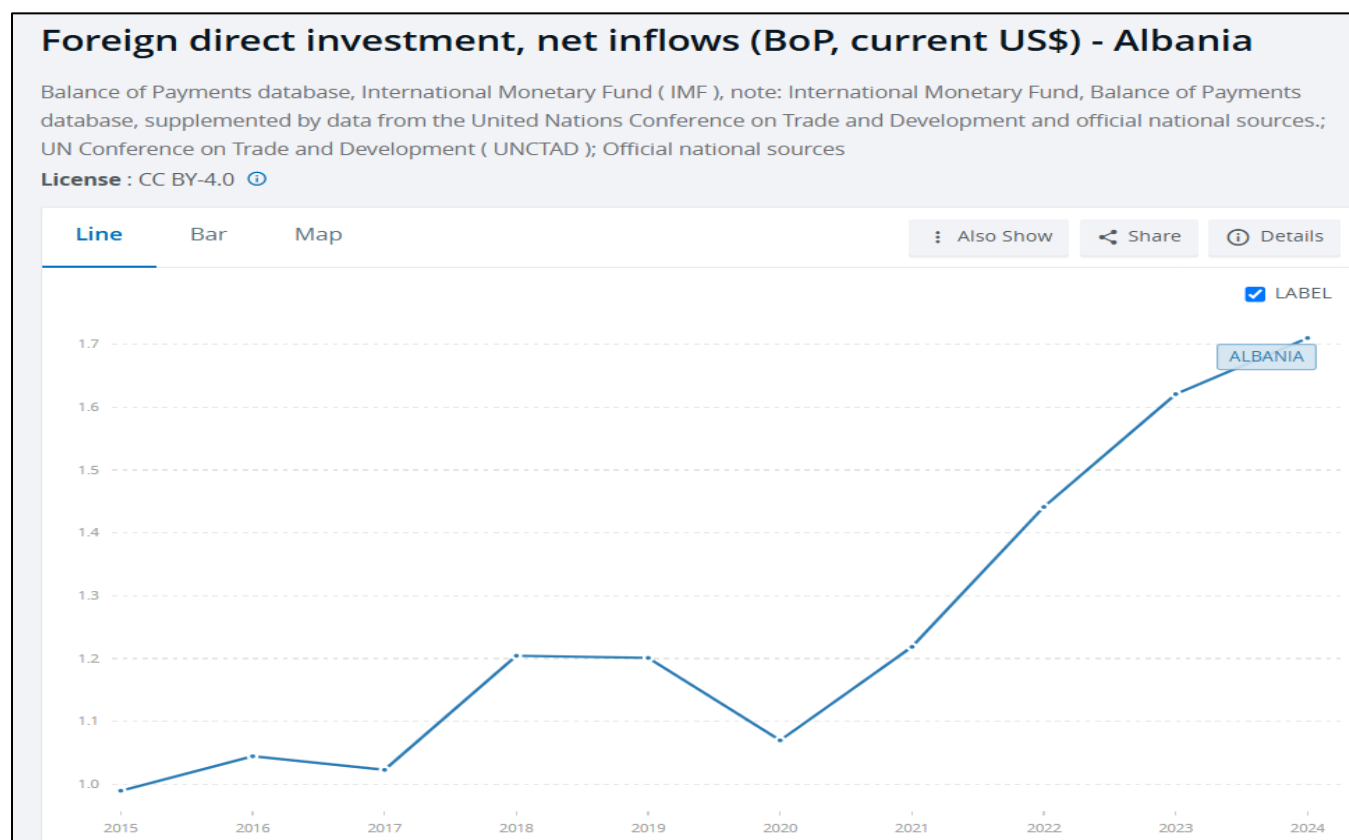


Chart 15: Foreign Direct Investment (World Bank)

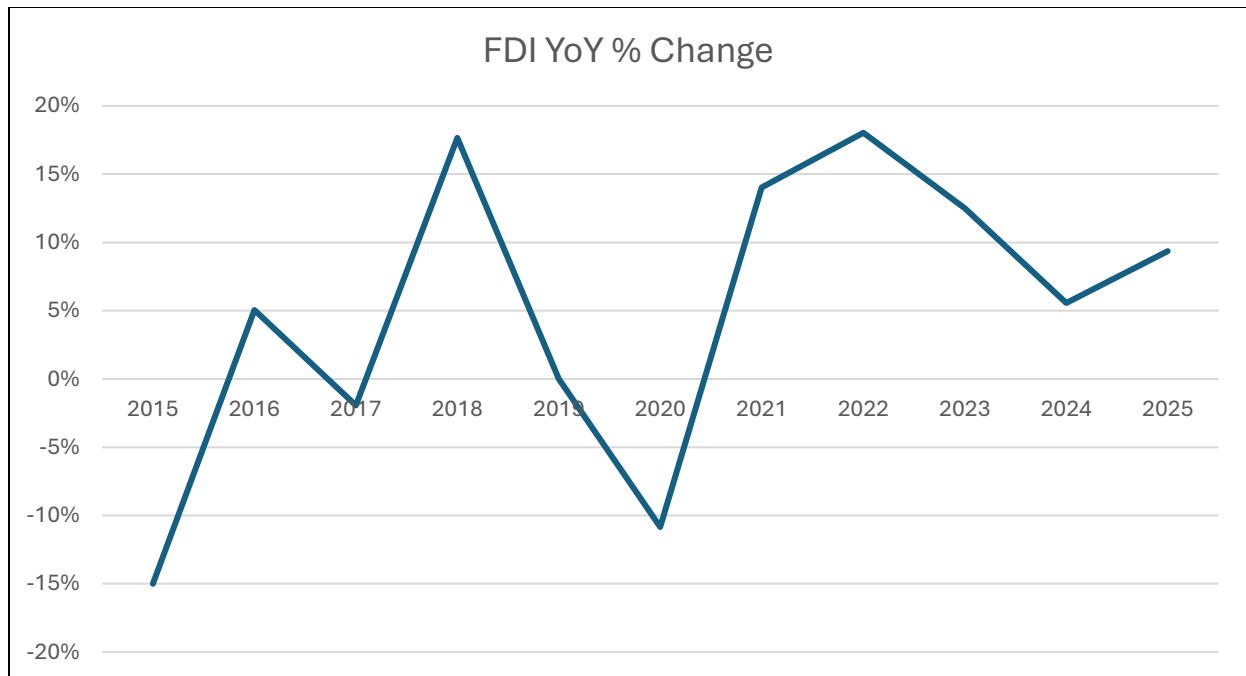


Chart 16: Foreign Direct Investment YoY % Change(World Bank)

Informal Economy

The informal economy remains one of the defining structural characteristics of the Albanian economy and has important implications for the residential property market. The International Monetary Fund's latest quantitative estimate places the informal economy at 27.2% of GDP (2019), while the World Bank continues to describe it as accounting for almost one-third of GDP, indicating that informality remains high despite ongoing fiscal and institutional reforms.

Barter Economy ("Klering")

Barter transactions ("klering") have historically played an important role in financing construction projects in Albania, allowing developers to compensate landowners, contractors and suppliers with completed apartments rather than cash(Revista Monitor). Although the construction sector has the highest proportion of borrowing firms in Albania (41%), the available evidence does not indicate excessive leverage. Most Albanian enterprises maintain conservative debt levels relative to equity, suggesting that construction activity is financed through a combination of bank lending, equity and alternative financing mechanisms rather than excessive debt accumulation. (Appendix C)

Investment Assessment

This analysis suggests that Albania is not experiencing a classic credit-driven housing bubble. Instead, it is a segmented market supported by structural demand from tourism, diaspora capital and urbanization. However, several warning signs deserve attention:

- House prices have significantly outpaced household incomes.
- Affordability continues to deteriorate.
- Vacancy rates remain unusually high
- Population decline creates long-term demand risks
- Construction represents an exceptionally large share of economic activity.
- Informality remains high

Prime locations in Tirana and selected coastal destinations remain fundamentally stronger than secondary markets, but future returns are likely to become increasingly dependent on location quality rather than broad market appreciation.

Market Outlook to 2030

The base case assumes that Albania avoids a severe macroeconomic shock while maintaining steady tourism growth and continued foreign demand. **The following scenarios represent the author’s assessment based on the preceding analysis and publicly available data from Bank of Albania, Instat, the IMF and the World Bank.**

Scenario	Annual House Price Growth	Probability
Base Case	4–6%	50%
Optimistic	7–10%	25%
Pessimistic	-2% to +2%	25%

Table 14: Scenario Analysis and Growth Outlook for the Albanian Housing Market

Base case: GDP growth remains around 3.5-3.7%(World Bank), tourism and construction still support demand but affordability and vacancy risks slow price growth.

Optimistic: Strong tourism, Foreign direct investment, EU-accession momentum, infrastructure investment, diaspora/foreign demand, and continued wage growth support another strong cycle. Instat data shows that construction activity remains active with building permits rising.

Pessimistic: Oversupply, high vacancy, weaker external demand, slower tourism related construction or tighter credit can lead to negative growth.

Conclusion

There is a moderate-to-high risk of overvaluation, but the probability of a classic credit-driven bubble is relatively low because:

- Mortgage leverage remains moderate
- Banks remain relatively resilient
- Tourism and diaspora demand are genuine structural drivers
- Strong macroeconomic backdrop

Albania's residential real estate market remains attractive, but it is becoming increasingly selective. The next phase of the market will likely be determined less by broad national trends and more by demographic resilience, tourism, urbanization and the sustainability of external capital inflows.

Investors should closely monitor affordability, vacancy rates, construction activity and demographic developments, as these factors are likely to shape long-term returns more than short-term market momentum.

Limitations

This analysis is constrained by data availability and measurement limitations. Several housing market indicators are only available for limited periods, while Albania's large informal economy makes household income and housing demand difficult to measure accurately. Furthermore, allegations of money laundering and corruption in the real estate sector cannot be reliably quantified due to the lack of comprehensive official data. Therefore, the conclusions of this report should be interpreted in light of these limitations.

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Additional Sources

Revista Monitor

Notes

The analysis, calculations, forecasts and scenario assessments presented in this report are the author’s own, based on publicly available data obtained from the sources listed above.

Data Cut-off: June 2026.

Appendix A

Real GDP Growth of Albania

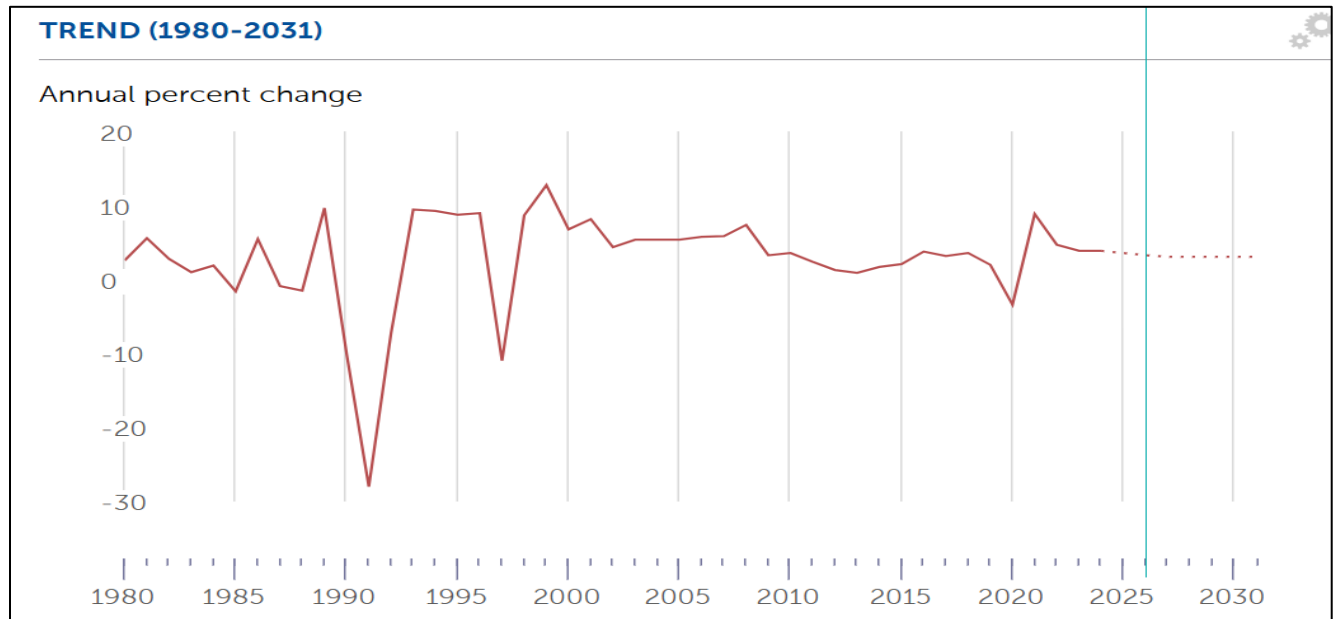


Chart 17: Real GDP growth of Albania (IMF)

Appendix B

Affordability & Wage growth

Sipas të dhënave të Numbeo-s, nëse për të blerë vjet një apartament në Tiranë nevojiteshin 15.3 vite, deri në 6-mujorin e parë të 2025, indeksi i përballueshmërisë së blerjes së apartamentit është rritur me rreth 3 vite.

Në Tiranë duhen 18 vite për të blerë një apartament sipas të dhënave të Numbeo-s të publikuara për 6-mujorin e parë të 2025-s.

Në renditjen botërore, Tirana pozicionohet në vendin e 37-të, me 18 vite për blerjen e një apartamenti.

Ndër qytetet europiane me indeksin më të lartë të përballueshmërisë për blerjen e një prone është kryeqyteti i Portugalisë, Lisboa, me 19.8 vite, Londra me 19.2 vite, Spliti dhe Tirana me 18 vite, më pas renditet Beogradi me 16.6 vite dhe Parisi me 15.3 vite.

Figure 1: Affordability (Revista Monitor)

Appendix C

Barter Economy (“Klering”)

Although this practice is well documented in academic research and industry discussions, no official institution currently publishes statistics on its size or economic significance. Consequently, barter should be considered an important qualitative characteristic of the Albanian construction sector rather than a measurable macroeconomic indicator.

- Construction is the most indebted sector in Albania in terms of borrowing participation: 41% of construction firms have an outstanding loan, the highest share among all sectors. (Bank of Albania)
- However, this does not mean the sector is highly leveraged. Across borrowing enterprises, 81% report debt of less than half their equity, only 6% report debt exceeding equity, and the average debt-to-equity ratio is 76%. While these leverage figures are economy-wide rather than construction-specific, there is no evidence from the Bank of Albania that construction firms, as a group, are excessively leveraged. (Bank of Albania)
- In addition, around 73% of construction firms’ loans are secured solely by real estate collateral, and a meaningful share of financing is supplemented by equity and alternative mechanisms such as barter (“klering”), reducing sole dependence on bank credit. (Bank of Albania)